

Table 8.3 Long-Term Valuation Horserace

	VW Value							
	1yr	2yr	3yr	4yr	5yr	6yr	7yr	8yr
Value-Weight								
B/M	14.92%	15.00%	14.85%	15.02%	15.15%	15.38%	15.43%	15.54%
E/P	14.86%	14.81%	15.16%	14.62%	14.68%	15.02%	15.07%	14.90%
EBIT/TEV	15.62%	15.27%	14.84%	14.73%	14.83%	14.76%	14.71%	14.66%
	VW Growth							
B/M	10.73%	10.86%	10.62%	10.33%	10.03%	9.84%	9.81%	9.54%
E/P	9.98%	10.88%	11.07%	11.44%	11.04%	10.91%	11.04%	10.53%
EBIT/TEV	8.43%	9.51%	9.26%	9.55%	9.60%	9.09%	9.23%	9.13%
	Spread (Value-Growth)							
B/M	4.18%	4.14%	4.23%	4.69%	5.11%	5.53%	5.62%	6.00%
E/P	4.88%	3.93%	4.09%	3.17%	3.64%	4.11%	4.03%	4.37%
EBIT/TEV	7.20%	5.77%	5.58%	5.17%	5.22%	5.67%	5.48%	5.53%

As we can see from [Table 8.3](#), it does not appear that using long-term valuation metrics adds value, on average. Examining the spread between value and growth firms, it appears that long-term measures work well for the B/M measure, as the spread between value and growth gets larger as more years of data are used. However, the difference in the value stocks for the B/M measure only increases by 0.62 percent, from 14.92 percent to 15.54 percent. Comparing the other two measures, there does not appear to be any benefit from using long-term valuation metrics. For the E/P measure, the spread between value and growth does not increase as more years are used, and for the EBIT/TEV measure, the spread actually decreases as more years are used. Examining the value stock portfolios by themselves, the best performing EBIT/TEV portfolio only includes one year of data! Thus, we think that sorting stocks on EBIT/TEV is a simple and effective way to capture the value premium.

Momentum Investing

As many investors know, Eugene Fama developed the efficient-market hypothesis (EMH) at the University of Chicago in the 1960s and 1970s, and it